

Notes: Yu (JFE, 2008)
Analyst Coverage and Earnings Management

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1 Big picture

- **Research question.** Do equity analysts affect managers' earnings management behavior? More specifically, do analysts act as external monitors that reduce manipulation, or do they pressure managers to manipulate earnings in order to meet analyst expectations?
- **Main idea.** Analysts are information intermediaries. They follow firms regularly, analyze accounting reports, ask questions on conference calls, and communicate their views to investors. This outside scrutiny can discipline managers, but analyst expectations can also create short-term pressure.
- **Empirical object.** The paper studies whether the number and quality of sell-side analysts following a firm are related to the firm's earnings management. The main proxy for earnings management is the absolute value of discretionary accruals estimated from a modified Jones model.
- **Main finding.** Firms followed by more analysts manage earnings less. The negative relation appears in OLS, in instrumental-variable specifications, in changes, and in comparisons between covered and uncovered firms.
- **Alternative measure.** The paper also studies discontinuities in the distribution of earnings around analyst forecast targets. Low-coverage firms are much more likely than high-coverage firms to narrowly meet or beat analyst forecasts rather than narrowly miss them.
- **Endogeneity concern.** Analysts may choose to follow firms with cleaner reporting. Yu addresses this with two instruments for analyst coverage: expected coverage based on changes in brokerage-house size and inclusion in the S&P 500 index.
- **Analyst quality.** Conditional on the number of analysts, analysts from top brokerage houses and analysts with more experience have stronger negative relations with discretionary accruals.
- **Economic takeaway.** Analysts do more than transmit information to investors. Their monitoring presence can improve the quality of corporate information production by discouraging earnings management.

2 Incremental contribution of the paper

- **Moves analyst research into corporate governance.** Much of the analyst literature asks how analysts affect investors and prices. Yu asks how analysts affect managers' reporting choices.
- **Tests monitoring versus pressure directly.** The paper contrasts two opposing hypotheses: analyst coverage may monitor managers, or it may pressure managers to manipulate earnings to hit analyst targets.
- **Uses multiple earnings-management measures.** The paper does not rely only on discretionary accruals. It also studies the discontinuity of reported earnings around analyst forecast targets.
- **Addresses analyst-selection concerns.** The paper uses two distinct sources of plausibly exogenous variation in analyst coverage: changes in broker size and S&P index inclusion.

- **Separates extensive and intensive coverage.** The paper compares covered firms with uncovered firms and also examines variation in the number of analysts among covered firms.
- **Studies analyst characteristics.** The paper shows that analyst quality matters: top-broker affiliation and experience strengthen the monitoring relation.
- **Links information intermediation and reporting quality.** Analysts reduce information asymmetry not only by processing and distributing information, but also by influencing how much managers manipulate the accounting numbers being distributed.

3 Data and measurement

3.1 Sample selection

The main sample combines analyst coverage data from I/B/E/S with accounting data from Compustat. The analysis focuses on U.S. public firms from 1988 to 2002.

- The sample begins in 1988 because cash flow from operations becomes available in Compustat and is needed to estimate accruals accurately.
- Foreign firms, financial firms, firms with missing key accounting variables, firms with market value below 10 million dollars, and firms with unclassified industries are excluded.
- The main covered-firm sample contains **33,127 firm-year observations** in I/B/E/S with enough accounting data to estimate discretionary accruals.
- For the covered-versus-uncovered analysis, the sample is expanded to include firms not covered in I/B/E/S but with enough Compustat data to estimate discretionary accruals.

3.2 Analyst coverage

Analyst coverage is the number of sell-side analysts who issue earnings forecasts for a firm in a given year. The median covered firm has six analysts, while the mean is 9.44 analysts.

The paper also constructs **residual coverage**. This is the part of analyst coverage not explained by observable determinants of analyst following:

$$\text{AnalystCoverage}_{it} = \theta_0 + \theta_1 \text{Size}_{it} + \theta_2 \text{PastPerformance}_{it} + \theta_3 \text{Growth}_{it} \\ + \theta_4 \text{ExternalFinancing}_{it} + \theta_5 \text{CashFlowVolatility}_{it} + \text{year effects} + u_{it}.$$

The residual u_{it} is used as the main analyst-coverage variable in the earnings-management regressions.

3.3 Earnings management: discretionary accruals

The main earnings-management measure is the absolute value of discretionary accruals, expressed as a percentage of lagged assets. The paper estimates discretionary accruals using a cross-sectional version of the modified Jones model.

Total accruals are computed as net income before extraordinary items minus cash flow from operations. Within each year and two-digit SIC industry, Yu estimates:

$$\frac{TA_{it}}{A_{it-1}} = a_1 \frac{1}{A_{it-1}} + a_2 \frac{\Delta REV_{it}}{A_{it-1}} + a_3 \frac{PPE_{it}}{A_{it-1}} + \varepsilon_{it}.$$

Non-discretionary accruals are then calculated as:

$$NDA_{it} = \hat{a}_1 \frac{1}{A_{it-1}} + \hat{a}_2 \left(\frac{\Delta REV_{it} - \Delta AR_{it}}{A_{it-1}} \right) + \hat{a}_3 \frac{PPE_{it}}{A_{it-1}}.$$

Finally,

$$DA_{it} = \frac{TA_{it}}{A_{it-1}} - NDA_{it}.$$

- Positive discretionary accruals indicate income-increasing accounting discretion.
- Negative discretionary accruals indicate income-decreasing accounting discretion.
- The paper focuses on $|DA|$ because managers can manipulate earnings upward or downward.
- The regressions are also split by positive and negative discretionary accruals to check symmetry.

3.4 Alternative measure: meeting analyst forecasts

The paper also uses a distributional approach. It compares firms that narrowly meet or beat analyst expectations with firms that narrowly miss analyst expectations.

- A firm is treated as narrowly meeting or beating the target when reported earnings equal analyst expectations or exceed expectations by less than four cents.
- A firm narrowly misses when it falls slightly short of analyst expectations.
- This measure captures both accounting manipulation and real actions that help firms hit earnings benchmarks.
- The paper controls for expectation management using the change in analyst consensus forecasts.

3.5 Analyst characteristics

The paper examines whether some analysts have stronger monitoring effects.

- **Top-broker analysts.** An analyst is classified as from a top broker if the analyst is affiliated with a broker ranked as an *All-American* research team by *Institutional Investor* in that year.
- **General experience.** Experience as an analyst is the number of years since the analyst first appears in I/B/E/S.
- **Firm-specific experience.** Experience with the firm is the number of years the analyst has followed that particular company.

4 Methodology and empirical specifications

4.1 Main OLS specification

The baseline regression relates earnings management to residual analyst coverage:

$$|DA_{it}| = \alpha_t + \gamma_k + \beta \text{ResidualCoverage}_{it} + \lambda' X_{it} + \varepsilon_{it},$$

where α_t are year fixed effects, γ_k are industry fixed effects, and X_{it} includes controls such as market-to-book, return on assets, growth, cash-flow volatility, external financing, firm size, and institutional ownership.

- A negative β supports the monitoring hypothesis.
- A positive β would support the pressure hypothesis.
- Standard errors are clustered at the firm level.

4.2 Expected coverage instrument

The first instrument uses changes in brokerage-house size. If a brokerage house shrinks, it employs fewer analysts and tends to drop coverage. This generates variation in expected coverage that is less directly tied to a firm's reporting quality.

For firm i , broker j , and year t , expected coverage is defined as:

$$\text{ExpectedCoverage}_{itj} = \left(\frac{\text{BrokerSize}_{jt}}{\text{BrokerSize}_{j0}} \right) \text{Coverage}_{i0},$$

with total expected coverage:

$$\text{ExpectedCoverage}_{it} = \sum_{j=1}^n \text{ExpectedCoverage}_{itj}.$$

The benchmark year is 1995. The instrument is especially useful for capturing coverage reductions caused by broker-size changes.

4.3 S&P 500 inclusion instrument

The second instrument is an S&P 500 inclusion dummy. Firms included in the S&P index tend to receive more analyst coverage. The logic is that index inclusion increases visibility and coverage, while the index-selection process is less likely to be driven directly by discretionary accruals.

The first stage is:

$$\text{ResidualCoverage}_{it} = c_t + c_k + \phi_1 \text{S\&P500Dummy}_{it} + \phi_2' X_{it} + \eta_{it}.$$

The second stage uses the instrumented value of residual coverage in the $|DA|$ regression.

4.4 Changes in analyst coverage

The paper also studies whether changes in analyst coverage are associated with changes in discretionary accruals over three-year windows:

$$\Delta|DA_{it}| = \alpha_t + \gamma_k + \beta \Delta \text{ResidualCoverage}_{it} + \lambda' \Delta X_{it} + \varepsilon_{it}.$$

This design removes time-invariant firm traits and asks whether increases in coverage within a firm are associated with subsequent reductions in earnings management.

4.5 Covered versus uncovered firms

To test the extensive-margin effect of analyst monitoring, the paper expands the sample to firms without I/B/E/S coverage. The key regressor is a coverage dummy equal to one if a firm has at least one analyst and zero otherwise.

The result asks: conditional on firm characteristics, do firms with any analyst coverage have lower discretionary accruals than otherwise similar uncovered firms?

4.6 Distribution of earnings around analyst targets

The distributional test constructs portfolios by coverage quartile and compares the mass of observations just to the right of the analyst forecast target with the mass just to the left.

The regression version is:

$$\text{MeetingTargetDummy}_{it} = \alpha_t + \gamma_k + \beta \text{ResidualCoverage}_{it} + \eta \Delta \text{AnalystConsensus}_{it} + \lambda' X_{it} + \varepsilon_{it}.$$

The dummy equals 100 when the firm narrowly meets or beats the target and zero otherwise.

4.7 Analyst characteristics regression

To study analyst quality, Yu estimates:

$$|DA_{it}| = \alpha_t + \gamma_k + \beta_1 \text{AnalystCoverage}_{it} + \beta_2 \text{AnalystCharacteristics}_{it} + \lambda' X_{it} + \varepsilon_{it}.$$

The characteristics include the number of analysts from top brokers, average analyst experience, and average firm-specific experience.

5 Identification and interpretation

5.1 What the paper can identify

The paper identifies whether analyst coverage is associated with less earnings management after controlling for observable firm characteristics, industry and year effects, institutional ownership, and several sources of endogeneity. The evidence is strongest as a broad set of consistent reduced-form results rather than a fully randomized treatment.

5.2 Selection into analyst coverage

The central concern is that analysts may select firms with better information environments and less earnings manipulation. If so, OLS would overstate the monitoring effect. Yu addresses this concern with two instruments and a change specification.

- The broker-size instrument uses supply-side changes in analyst capacity.
- The S&P index instrument uses visibility shocks associated with index inclusion.
- The change specification asks whether within-firm changes in coverage are associated with within-firm changes in earnings management.

5.3 Why residual coverage is used

Raw analyst coverage is mechanically higher for large, successful, growing, and liquid firms. Residual coverage strips out predictable coverage due to firm size, past performance, growth, external financing, and cash-flow volatility. This makes the remaining coverage variation more comparable across firms.

5.4 Monitoring versus pressure

The paper's results support the monitoring effect as dominant. More analysts are associated with lower absolute discretionary accruals and a lower probability of just meeting or beating earnings forecasts. This is the opposite of the simple pressure hypothesis.

A more nuanced interpretation is that pressure and monitoring can coexist, but the monitoring effect dominates on average in the data.

5.5 Discretionary-accrual limitations

Discretionary accruals are imperfect proxies for earnings management. They can be affected by performance, growth, mergers, and cash-flow volatility. Yu addresses this by using cash-flow statement data to estimate total accruals, controlling for profitability, growth, volatility, and financing, winsorizing outliers, and validating results with the distributional approach.

5.6 Expectation-management concern

Firms can meet analyst forecasts by walking down analyst expectations rather than by manipulating earnings. Yu addresses this by controlling for changes in analyst consensus forecasts. The negative relation between analyst coverage and the probability of narrowly meeting or beating targets remains after this control.

5.7 Interpretation of analyst characteristics

The analyst-characteristics results suggest that monitoring quality matters. Analysts from top brokers and analysts with firm-specific experience may have better resources, credibility, and knowledge

of a firm's accounting patterns. However, these tests are more exposed to selection concerns because higher-quality analysts may choose particular firms within industries.

6 Tables and figures

6.1 Table 1: Summary statistics and sample construction

Read:

- Panel A reports firm-level statistics for discretionary accruals, valuation, profitability, growth, institutional ownership, and analyst coverage.
- The median covered firm has absolute discretionary accruals of 4.91 percent of lagged assets and is covered by six analysts.
- The mean analyst coverage is 9.44 analysts, while the mean number of analysts from top brokers is 2.57.
- Panel B shows that the number of analysts in the sample rises from 2,243 in 1988 to 4,308 in 2002.
- Panel C documents the covered and uncovered firm-year counts used in the expanded sample.

Economic message: The sample contains meaningful variation in both earnings management and analyst coverage. The data also show that analyst coverage expanded substantially during the sample period.

Table 1
Summary Statistics

This table presents the summary statistics for the sample. The sample consists of firms in Institutional Brokers' Estimate System from 1988 to 2002 with accounting information from Compustat. Discretionary accruals are estimated by a cross-sectional version of the modified Jones model, presented as percentage of lagged assets. Return on assets is calculated by net income divided by total assets. Standard & Poor's index dummy is equal to 1 if a firm is included in the S&P industry index and zero otherwise. Growth rate of assets is calculated by the change of assets scaled by lagged assets. Cash flow volatility is estimated by the standard deviations of cash flows of a firm in the entire sample period, scaled by lagged assets. Institutional ownership is measured by the percentage of common shares owned by institutional investors. External financing activities are measured by the sum of net cash received from equity and debt issuance scaled by total assets. An analyst is defined as an analyst from top brokers if he or she is affiliated with a broker ranked as an *All-American* research team by *Institutional Investors* in a given year. Experience with firm is defined as the number of years that an analyst has followed a given firm. Experience as analyst is defined as the number of years that an analyst has worked as an analyst.

Panel A Firm level				
Variable	Number of observations	Mean	Median	Standard deviation
<i>Firm characteristics</i>				
Absolute level of discretionary accruals	33,127	9.30	4.91	13.23
Discretionary accruals	33,127	1.33	0.54	17.82
Market value (in billions)	33,127	2.44	0.31	11.69
Market-to-book ratio	33,127	3.95	2.08	45.44
ROA	33,127	0.00	0.04	0.26
S&P index dummy	33,127	0.16	0.00	0.37
Growth rate of assets	33,127	0.24	0.09	1.00
Cash flow volatility	32,900	0.20	0.09	1.24
Institutional ownership	33,127	41.81	41.68	23.54
External financing activities	33,105	0.04	0.00	0.17
<i>Analyst coverage</i>				
Analysts	33,127	9.44	6.00	9.13
Analysts from top brokers	33,127	2.57	1.00	3.14
Experience with firm	33,043	3.05	2.67	1.73
Experience as analyst	33,043	6.55	6.33	2.64

Panel B Analyst level					
Year	Number of analysts	Analysts from top research teams	Tenure with firm	Tenure as analyst	Average coverage
1988	2,243	599	2.42	3.62	11.24
1989	2,579	683	2.38	3.70	11.94
1990	2,442	593	2.55	4.20	10.74
1991	2,172	517	2.96	4.91	9.92
1992	2,109	510	3.26	5.49	9.52
1993	2,385	556	3.17	5.52	9.75
1994	2,736	663	3.03	5.45	8.93
1995	2,944	678	3.01	5.58	8.68
1996	3,280	735	2.80	5.33	8.32
1997	3,757	843	2.72	5.18	8.15
1998	4,112	1062	2.72	5.26	8.45
1999	4,256	1138	2.78	5.41	9.01
2000	4,329	1174	2.73	5.44	9.40
2001	4,280	993	2.65	5.40	9.77
2002	4,308	1255	2.52	5.05	10.25

Table 1, part 1: Summary statistics at the firm and analyst level.

Table 1 (continued)

Panel C Sample selection			
Year	Uncovered firms	Covered firms	Covered firms with no DA information
1988	1,408	1,576	623
1989	1,297	1,602	664
1990	1,108	1,591	731
1991	1,213	1,652	745
1992	1,397	1,754	806
1993	1,619	1,990	1,040
1994	1,725	2,239	1,103
1995	1,869	2,357	1,187
1996	1,930	2,612	1,495
1997	2,086	2,837	1,467
1998	1,868	2,810	1,483
1999	1,814	2,703	1,606
2000	1,559	2,605	1,562
2001	1,479	2,528	1,241
2002	1,386	2,271	1,154
Total	27,320	33,127	16,907
Percentage	35.32	42.83	21.85

Table 1, part 2: Sample selection and covered versus uncovered observations.

6.2 Tables 2 and 3: Correlations and coverage-based comparisons

Read Table 2:

- Table 2 reports correlations among discretionary accruals, nondiscretionary accruals, total accruals, analyst coverage, valuation, performance, growth, size, institutional ownership, and financing.
- Analyst coverage is negatively correlated with absolute discretionary accruals and total accruals.
- Analyst coverage is positively correlated with market value and institutional ownership, motivating the need for controls.

Read Table 3:

- Firms with analyst coverage have lower median absolute discretionary accruals than uncovered firms.
- Within covered firms, discretionary accruals decline monotonically with coverage. Median absolute discretionary accruals fall from 6.19 for firms with one analyst to 3.94 for firms with more than ten analysts.
- High-coverage firms are much larger, confirming that coverage is not randomly assigned.

Economic message: The raw data already point toward monitoring: more analyst coverage is associated with less earnings management. But because high-coverage firms are also larger and

different along many dimensions, multivariate and IV tests are necessary.

Table 2

Correlation structure of key variables

This table presents the correlation matrix of key variables in the paper. The sample consists of firms in Institutional Brokers' Estimate System from 1988 to 2002 with information from Compustat. Total accruals (TA) equals net income minus cash flow from operations. Discretionary accruals (DA) and nondiscretionary accruals (NDA) are estimated by a cross-sectional version of the modified Jones model, presented as percentage of lagged assets. Return on assets is calculated by net income divided by total assets. Growth rate of assets is calculated by the change of assets scaled by lagged assets. Cash flow volatility is estimated by the standard deviations of cash flows of a firm in the period, scaled by lagged assets. Institutional ownership is measured by the percentage of common shares owned by institutional investors. External financing activities are the sum of net cash received from equity and debt issuance scaled by total assets.

Variable	Abs_DA	DA	Abs_NDA	NDA	Abs_TA	TA	Number of analysts	Market-to-book ratio	Return on assets	Growth rate of assets	Market value	Cash flow volatility
Absolute discretionary accruals (Abs_DA)	1.00											
Discretionary accruals (DA)	0.26	1.00										
Absolute level of nondiscretionary accruals (Abs_NDA)	0.61	0.51	1.00									
Nondiscretionary accruals (NDA)	-0.51	-0.52	-0.92	1.00								
Absolute level of total accruals (Abs_TA)	0.62	-0.30	0.22	-0.17	1.00							
Total accruals (TA)	-0.14	0.67	-0.19	0.24	-0.51	1.00						
Number of analysts	-0.06	-0.04	0.01	-0.02	-0.04	-0.07	1.00					
Market-to-book ratio	0.05	0.01	0.05	-0.05	0.04	-0.03	0.01	1.00				
Return on assets	-0.28	0.23	-0.08	0.08	-0.44	0.45	0.08	-0.04	1.00			
Growth rate of assets	0.22	0.03	0.21	-0.18	0.27	-0.08	0.01	0.01	0.05	1.00		
Cash flow volatility	0.07	-0.03	0.03	-0.01	0.09	-0.04	-0.02	0.01	0.00	0.10	1.00	
Market value	-0.01	0.01	0.04	-0.04	-0.02	0.41	0.01	0.06	0.02	-0.01	1.00	
Institutional ownership (IO)	-0.09	0.00	-0.02	0.00	-0.11	0.00	0.36	-0.01	0.16	-0.01	-0.03	0.09
External financing activities (EFA)	0.21	0.03	0.15	-0.12	0.22	-0.06	-0.11	0.04	-0.24	0.33	0.08	-0.06

Table 2: Correlation structure of key variables.

Table 3

Firm characteristics by size of analyst coverage

Panel A presents the summary statistics for firm characteristics. The sample consists of firms in Institutional Brokers' Estimate System from 1988 to 2002 with accounting information from Compustat. Total accruals (TAs) equal net income minus cash flow from operations. Discretionary accruals (DAs) and nondiscretionary accruals (NDAs) are estimated by a cross-sectional version of the modified Jones model, presented as percentage of lagged assets.

Coverage: number of analysts		Abs_DA	DA	Abs_NDA	NDA	Abs_TA	TA	Market value (in millions)	Last year return on assets	Number of observations
0	Median	7.12	0.31	6.13	-5.43	8.04	-5.69	51.41	0.01	27,320
	Mean	15.12	-0.32	12.38	-9.91	14.93	-9.50	679.24	-0.27	
> 0	Median	4.91	0.54	5.11	-4.85	6.76	-5.18	311.62	0.04	33,301
	Mean	9.59	1.33	8.24	-7.26	9.99	-5.89	2429.27	-0.04	
1	Median	6.19	1.00	5.51	-5.16	7.20	-4.82	54.91	0.03	3,903
	Mean	11.78	1.73	9.40	-7.88	11.33	-5.88	118.81	-0.07	
2-5	Median	5.67	0.88	4.95	-4.63	7.04	-4.62	121.18	0.04	11,163
	Mean	10.59	2.01	8.14	-6.97	10.47	-5.01	256.07	-0.12	
6-10	Median	4.91	0.52	4.81	-4.54	6.59	-4.81	382.82	0.05	7,618
	Mean	9.23	1.41	7.80	-6.87	9.60	-5.44	716.73	-0.01	
> 10	Median	3.94	0.14	5.70	-5.55	6.58	-6.26	1906.26	0.05	10,558
	Mean	8.00	-0.36	8.46	-7.98	9.50	-8.15	6797.88	0.02	

Table 3: Firm characteristics by size of analyst coverage.

6.3 Tables 4 and 5: Residual coverage and baseline OLS results

Read Table 4:

- Table 4 generates residual coverage by regressing analyst coverage on firm size, lagged profitability, growth, external financing, cash-flow volatility, and year effects.
- Analyst coverage is higher for larger, more profitable, and faster-growing firms.
- Coverage is lower for firms with more external financing activity and cash-flow volatility.

Read Table 5:

- The dependent variable is absolute discretionary accruals.
- Residual coverage is negatively associated with earnings management in the full sample and in the positive-DA and negative-DA subsamples.
- The relation survives controls for market-to-book, profitability, growth, cash-flow volatility, external financing, size, year fixed effects, and industry fixed effects.
- Adding institutional ownership weakens the coefficient, but the relation remains negative and at least marginally significant.

Economic message: The main OLS evidence supports the monitoring hypothesis. Analysts appear to reduce both upward and downward earnings management.

Table 4

Regression that generates residual coverage

This table reports the results of the ordinary least squares regression that generates residual analyst coverage. The sample consists of firms in Institutional Brokers' Estimate System from 1988 to 2002 with accounting information from Compustat. Lagged return on asset is calculated by net income divided by total assets from previous year. Growth rate of assets is calculated by the change of assets scaled by lagged assets. Cash flow volatility is estimated by the standard deviations of cash flows of a firm in the entire sample period, scaled by lagged assets. External financing activities are measured by the sum of net cash received from equity and debt issuance scaled by total assets. Standard errors, reported in parentheses, are adjusted for firm-level clustering. Statistical significance at the 10, 5, and 1% level is indicated by *, **, and ***, respectively.

Dependent variable: number of covering analysts	
Market value (in billions)	0.31 (0.04)***
Lagged return on assets	2.95 (0.51)***
Growth rate of assets	0.44 (0.09)***
External financing activities	−2.91 (0.43)***
Cash flow volatility	−0.19 (0.18)
Constant	9.76 (0.21)***
Year dummies	yes
Number of observations	28,798
R-squared	0.20

Table 4: Regression that generates residual coverage.

Table 5

The effect of analyst coverage on earnings management: ordinary least squares regressions

This table reports the results of ordinary least squares regressions examining the effect of analyst coverage on earnings management. The sample consists of firms in Institutional Brokers' Estimate System from 1988 to 2002 with accounting information from Compustat. Residual coverage is the residuals from a regression of number of covering and size, past performance, growth, external financing activities, and cash flow volatilities. Discretionary accruals are estimated by a cross-sectional version of the modified Jo. Return on assets is calculated by net income divided by total assets. Growth rate of assets is calculated by the change of assets scaled by lagged assets. Cash flow volatility is by the standard deviations of cash flows of a firm in the entire sample period, scaled by lagged assets. External financing activities are measured by the sum of net cash received from equity and debt issuance scaled by total assets. Size is the market value of a firm. Institutional ownership is measured by the percentage of common shares owned by institutional investors. Standard errors, reported in parentheses, are adjusted for firm-level clustering. Statistical significance at the 10, 5, and 1% level is indicated by *, **, and ***, respectively.

Sample	Dependent variable: absolute value of discretionary accruals (Abs_DA)								F
	All firms	Firms with positive DA	Firms with negative DA	All firms	Firms with positive DA	Firms with negative DA	All firms	Firms with positive DA	
Residual coverage	−0.05 (0.01)***	−0.08 (0.01)***	−0.03 (0.01)***	−0.05 (0.01)***	−0.08 (0.01)***	−0.02 (0.01)*	−0.02 (0.01)*	−0.03 (0.01)**	0
Market-to-book ratio	0.01 (0.00)***	0.01 (0.00)***	0.01 (0.00)***	0.01 (0.00)***	0.03 (0.00)***	0.01 (0.00)***	0.01 (0.00)***	0.01 (0.00)***	0
Return on assets	−11.65 (0.97)***	9.53 (1.59)***	−17.12 (1.63)***	−11.65 (0.97)***	9.53 (1.63)***	−17.12 (1.63)***	−11.65 (0.93)***	11.16 (1.61)***	(1)
Growth rate of assets	2.96 (0.58)***	2.96 (0.67)***	2.65 (0.71)***	2.96 (0.58)***	2.96 (0.67)***	2.65 (0.71)***	2.96 (0.59)***	2.62 (0.66)***	2
Cash flow volatility	0.83 (0.20)***	1.61 (0.38)***	0.81 (0.17)***	0.83 (0.20)***	1.61 (0.38)***	0.81 (0.17)***	0.82 (0.19)***	1.47 (0.55)***	0
External financing activities	2.65 (1.40)*	9.37 (1.69)***	0.91 (1.74)	2.65 (1.40)*	9.37 (1.69)***	0.91 (1.74)	2.40 (1.58)*	9.32 (1.68)***	0
Size	−0.01 (0.01)	−0.02 (0.01)	−0.00 (0.01)	−0.01 (0.01)	−0.02 (0.01)	−0.00 (0.01)	−0.01 (0.01)	−0.01 (0.01)	0
Institutional ownership	−0.04 (0.01)	−0.06 (0.01)	−0.04 (0.01)	−0.04 (0.01)	−0.06 (0.01)	−0.04 (0.01)	−0.06 (0.01)	−0.06 (0.01)	0
Constant	9.73 (0.20)***	10.42 (0.45)***	9.61 (0.35)***	8.70 (0.20)***	10.10 (0.45)***	7.69 (0.34)***	10.79 (0.39)***	13.21 (0.59)***	9
Year fixed effect	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Y

Table 5: OLS effect of analyst coverage on earnings management.

6.4 Tables 6 and 7: Expected coverage and broker-size IV evidence

Read Table 6:

- Table 6 illustrates the expected coverage instrument.
- If a broker's analyst staff shrinks, its expected probability of continuing coverage also falls.
- Expected coverage is summed across brokers that covered the firm in the benchmark year.

Read Table 7:

- Expected coverage strongly predicts actual analyst coverage in the first stage.
- Instrumented residual coverage is negatively related to absolute discretionary accruals.
- The effect appears for both positive and negative discretionary accruals.
- The estimated magnitude is larger than in OLS; moving from the 25th to the 75th percentile of coverage implies a meaningful decline in discretionary accruals.

Economic message: When coverage variation is driven by brokerage-house capacity rather than firm reporting choices, the monitoring result remains strong.

Table 6
An example of calculating expected coverage based on the change of broker size

Broker	Analysts employed in year 0	Analysts employed in year t	Coverage from broker j in year 0	Expected coverage from broker j in year t
1	10	10	1	1
2	10	5	1	0.5
3	10	15	1	1
Expected coverage at year $t = 2.5$				

Table 6: Example of calculating expected coverage from broker-size changes.

Exogenous variations from the change of broker size: two-stage least-squares regressions

This table reports the results of two-stage least-squares (2SLS) regressions with expected coverage or expected change of coverage as instrumental variables. The sample consists of firms in Institutional Brokers' Estimate System from 1988 to 2002 (excluding 1995) with accounting information from Compustat. Expected coverage is estimated by the method using the change of broker size discussed in Subsection 4.2. Standard errors, reported in parentheses, are adjusted for firm-level clustering. Statistical significance at the 10, 5, and 1% level is indicated by *, **, and ***, respectively.

Sample	Dependent variable			
	Number of analysts		Absolute value of discretionary accruals	
	First stage All firms	Second stage All firms	Firms with positive DA	Firms with negative DA
Expected coverage	1.04 (0.02)***			
Residual coverage (instrumented)		−0.05 (0.01)***	−0.04 (0.02)**	−0.05 (0.02)***
Institutional ownership	0.06 (0.00)***	−0.03 (0.01)***	−0.05 (0.01)***	−0.01 (0.01)*
Market-to-book ratio	0.01 (0.00)**	0.01 (0.00)	−0.00 (0.01)	0.01 (0.01)*
Return on assets	−0.82 (0.55)	−10.62 (1.71)***	7.60 (1.50)***	−19.07 (3.13)***
Growth rate of assets	0.12 (0.16)	4.12 (0.44)***	3.80 (0.69)***	3.90 (0.53)***
Cash flow volatility	−0.26 (0.25)	0.81 (0.14)***	2.28 (0.71)***	0.71 (0.10)***
External financing activities	3.57 (0.44)***	−0.51 (1.03)	5.03 (1.36)***	−3.75 (1.45)***
Size	−0.00 (0.00)***	−0.00 (0.00)	−0.00 (0.00)	−0.00 (0.00)
Constant	−8.31 (0.22)***	2.59 (0.71)***	5.34 (1.43)***	1.08 (0.71)
Year fixed effect	Yes	Yes	Yes	Yes
Industry fixed effect	Yes	Yes	Yes	Yes
Number of observations	22,949	22,825	12,012	10,813
Adjusted R^2 -squared	0.66	0.20	0.24	0.32

Table 7: Expected-coverage instrument and 2SLS results.

6.5 Tables 8 and 9: S&P IV and changes in coverage

Read Table 8:

- The S&P index dummy strongly predicts analyst coverage in the first stage.
- Instrumented residual coverage is again negatively related to discretionary accruals.
- The estimated negative relation appears in the full sample and in positive-DA and negative-DA subsamples.

Read Table 9:

- Table 9 uses three-year changes in residual coverage and discretionary accruals.
- In OLS, increases in analyst coverage are associated with decreases in absolute discretionary accruals.
- The result remains when changes in expected coverage and changes in S&P index inclusion are used as instruments.
- The effect is not driven only by large negative accrual write-offs; the relation is broadly symmetric across positive and negative DA subsamples.

Economic message: The S&P IV and change specifications reinforce the idea that analyst coverage has a disciplining role rather than merely reflecting pre-existing reporting quality.

Table 8

Exogenous variations from Standard & Poor's index inclusion: two-stage least-squares regressions

This table reports the results of two-stage least squares (2SLS) regressions with S&P index dummy as instrumental variable. The sample consists of firms in Institutional Brokers' Estimate System from 1988 to 2002 with accounting information from Compustat. S&P index dummy is equal to one if a firm is included in S&P industry index and zero otherwise. Standard errors, reported in parentheses, are adjusted for firm-level clustering. Statistical significance at the 10, 5, and 1% level is indicated by *, **, and ***, respectively.

Sample	Dependent variable			
	Number of analysts	Absolute value of discretionary accruals		
	First stage All firms 1.04	Second stage All firms	Firms with positive DA	Firms with negative DA
S&P index dummy	11.30 (0.43)***			
Residual coverage (instrumented)		−0.07 (0.02)***	−0.04 (0.02)*	−0.08 (0.02)**
Institutional ownership	0.10 (0.00)***	−0.03 (0.00)***	−0.05 (0.01)***	−0.01 (0.01)
Market-to-book ratio	0.00 (0.00)	0.01 (0.00)***	0.01 (0.00)***	0.03 (0.00)**
Return on assets	−2.07 (0.42)***	−11.26 (0.95)***	10.95 (1.61)***	−16.97 (1.67)**
Growth rate of assets	−0.02 (0.10)	2.90 (0.58)***	2.59 (0.66)***	2.66 (0.72)**
Cash flow volatility	0.27 (0.14)**	0.82 (0.18)***	1.44 (0.54)***	0.82 (0.17)**
External financing activities	2.87 (0.38)***	2.61 (1.39)*	9.52 (1.67)***	0.85 (1.73)
Size	−0.00 (0.00)***	−0.00 (0.00)	−0.00 (0.00)	0.00 (0.00)
Constant	−6.96 (0.22)***	8.71 (0.38)***	10.94 (0.53)***	2.86 (0.62)**
Year fixed effect	Yes	Yes	Yes	Yes
Industry fixed effect	Yes	Yes	Yes	Yes
Number of observations	28,798	28,661	15,262	13,399
Adjusted R-squared	0.41	0.23	0.25	0.37

Table 8: S&P 500 index inclusion as an instrument for analyst coverage.

Table 9

The effect of change of coverage on change of earnings management over every three-year span

This table reports the results of regressions examining the effect of change of analyst coverage on the change of earnings management over every three-year span. The sum of firms in Institutional Brokers' Estimate System from 1988 to 2002 with accounting information from Compustat. Discretionary accruals are estimated by a cross-sections the modified Jones model. Standard errors, reported in parentheses, are adjusted for firm-level clustering. Statistical significance at the 10, 5, and 1% level is indicated by *, **, and ***, respectively.

Sample	Dependent variable: change of absolute value of discretionary accruals								
	Ordinary least squares regressions			Expected change of coverage as IV (2SLS)			Standard & Poor's index inclusion as IV		
	All firms	Firms with positive DA	Firms with negative DA	All firms	Firms with positive DA	Firms with negative DA	All firms	Firms with positive DA	Firm nega
Change of residual coverage	(1) −0.10 (0.03)***	(2) −0.10 (0.04)***	(3) −0.11 (0.04)**	(4) −0.09 (0.04)**	(5) −0.10 (0.05)*	(6) −0.09 (0.06)	(7) −0.50 (0.17)***	(8) −0.59 (0.32)*	(9) −0.3 (0.20)
Change of institutional ownership	−0.01 (0.01)	−0.02 (0.02)	−0.00 (0.02)	−0.01 (0.01)	−0.02 (0.01)	−0.01 (0.02)	0.01 (0.02)	0.01 (0.02)	0.02 (0.02)
Change of market-to-book ratio	0.01 (0.01)	0.02 (0.00)***	0.00 (0.01)	0.01 (0.01)	0.02 (0.00)***	0.00 (0.01)	0.01 (0.01)	0.02 (0.00)***	0.00 (0.01)
Change of return on assets	−11.33 (2.01)***	−3.78 (1.11)	−14.17 (3.34)***	−1.24 (2.01)***	−2.88 (3.18)***	−13.97 (3.17)***	−11.77 (2.13)***	−4.51 (3.20)	−14 (4.46)
Three-year growth rate of assets	2.38 (0.71)***	2.94 (0.80)***	2.24 (0.91)**	2.22 (0.73)***	2.45 (0.81)***	2.16 (0.96)**	2.82 (0.79)***	4.16 (1.15)***	2.40 (0.96)
Cash flow volatility	1.29 (1.15)	−1.08 (1.70)	2.65 (1.46)*	−1.25 (1.20)	1.05 (1.88)	−1.25 (1.48)	2.43 (1.23)	−1.02 (1.62)	3.37 (1.53)
Change of financing activities	5.74 (1.15)***	6.13 (1.59)***	5.49 (1.71)***	6.26 (1.71)***	6.57 (1.57)***	6.25 (1.80)***	6.22 (1.20)***	6.58 (1.64)***	3.77 (1.75)
Change of size	−0.00 (0.00)*	−0.00 (0.00)	−0.00 (0.00)*	−0.00 (0.00)	−0.00 (0.00)	−0.00 (0.00)	−0.00 (0.00)***	−0.00 (0.00)*	−0.0 (0.00)
Constant	−0.10 (0.25)	−0.14 (0.38)	−0.52 (0.40)	1.18 (2.00)	0.59 (2.34)	4.18 (3.17)	4.12 (1.81)**	−2.13 (3.84)	3.87 (2.99)
Year fixed effect	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Industry fixed effect	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes

Table 9: Changes in coverage and changes in earnings management.

6.6 Table 10 and Figure 1: Coverage extensive margin and target discontinuity

Read Table 10:

- Table 10 compares covered and uncovered firms.
- The coverage dummy is strongly negative: covered firms have lower discretionary accruals than uncovered firms after controls.
- The relation holds for both positive and negative discretionary accruals.

Read Figure 1:

- The figure divides firms into analyst-coverage quartiles and plots forecast-error distributions around zero.
- The lowest-coverage quartile has a much stronger discontinuity at zero: many more firms narrowly meet or beat forecasts than narrowly miss them.
- The highest-coverage quartile has a much smaller discontinuity.
- The ratio of narrowly meeting or beating to narrowly missing declines from 1.66 in the lowest-coverage quartile to 1.14 in the highest-coverage quartile.

Economic message: Analyst monitoring matters both at the extensive margin and around earnings targets. Low coverage leaves managers more room to bunch reported earnings just above analyst expectations.

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Table 10

Uncovered versus covered firms

This table reports the results of regressions examining the difference of earnings management between uncovered firms and covered firms. The sample consists of firms in Institutional Brokers' Estimate System from 1988 to 2002 with accounting information from Compustat. Dummy of coverage is equal to one if a firm has one or more analysts and zero otherwise. Standard errors, reported in parentheses, are adjusted for firm-level clustering. Statistical significance at the 10, 5, and 1% level is indicated by *, **, and ***, respectively.

Sample	Dependent variable: absolute value of discretionary accruals		
	Ordinary least squares regressions		
	All firms	Firms with positive DA	Firms with negative DA
Dummy of coverage	−1.85 (0.18)***	−0.99 (0.23)***	−2.69 (0.25)***
Institutional ownership	−0.09 (0.00)***	−0.09 (0.01)***	−0.08 (0.01)***
Market-to-book ratio	0.00 (0.00)	0.00 (0.00)**	−0.00 (0.01)
Return on assets	−0.61 (0.31)*	0.01 (0.06)	−1.27 (0.57)**
Growth rate of assets	0.12 (0.17)	0.56 (0.16)***	0.05 (0.12)
Cash flow volatility	0.86 (0.24)***	0.86 (0.50)*	0.65 (0.23)***
External financing activities	15.52 (0.73)***	12.58 (0.94)***	17.26 (1.11)***
Size	−0.00 (0.00)	−0.00 (0.00)	−0.00 (0.00)*
Constant	18.76 (0.35)***	18.87 (0.51)***	18.61 (0.51)***
Year fixed effect	Yes	Yes	Yes
Industry fixed effect	Yes	Yes	Yes
Number of observations	58,921	31,004	27,917
Adjusted R-squared	0.18	0.21	0.18

Table 10: Uncovered versus covered firms.

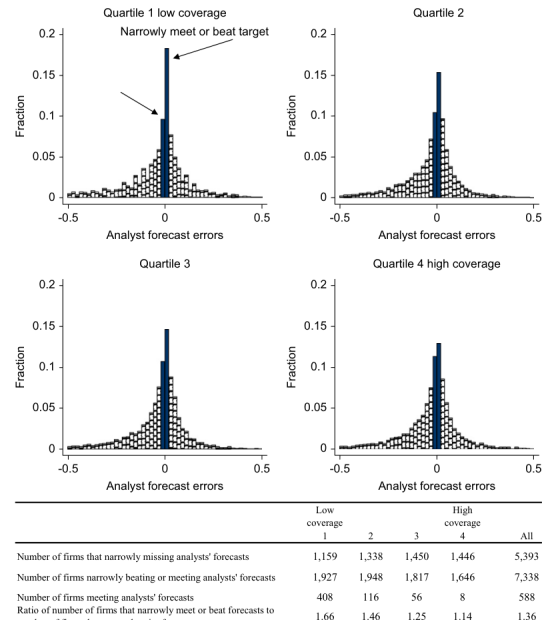


Figure 1: Earnings distributions around analyst forecast targets by coverage quartile.

6.7 Tables 11 and 12: Meeting targets and analyst characteristics

Read Table 11:

- Table 11 uses a dummy for narrowly meeting or beating analyst expectations as the dependent variable.
- Residual coverage is negatively associated with narrowly meeting or beating the target.
- The coefficient remains negative after controlling for changes in analyst consensus, which proxies for expectation management.
- The IV specifications using expected coverage and S&P index inclusion also produce negative coefficients.
- More coverage does not simply make target hitting harder mechanically: firms with more coverage are more likely to narrowly miss targets in Column 5.

Read Table 12:

- Conditional on total analyst coverage, analysts from top brokers are associated with lower discretionary accruals.
- More experienced analysts are associated with lower discretionary accruals.
- Firm-specific experience has a particularly strong effect, consistent with the idea that knowledge of the firm improves monitoring.
- The effects appear in both positive-DA and negative-DA subsamples.

Economic message: The paper’s conclusions do not rely only on accrual estimation. Analysts also reduce the tendency to just hit earnings benchmarks, and analyst quality matters for monitoring strength.

Table 11

Probability of meeting earnings target

This table reports the results of regressions using firms’ propensity of meeting earnings expectations as the measure of earnings management. The sample consists of Institutional Brokers’ Estimate System from 1988 to 2002 with accounting information from Compustat that either meet/beats their earnings targets by zero to four cents or earnings targets by one to eight cents. The dependent variable is the dummy to narrowly meet or beat earnings target, which is one hundred if a firm’s reported earnings is analyst expectation or exceed analyst expectation by less than \$0.04 and zero otherwise. Columns 1, 2, and 3 are the results from ordinary least squares regressions. Columns 4 and 5 are the results from two-stage least squares regressions with expected coverage as instrument, and Column 4 is the result from two-stage least squares regressions with the dummy & Poor’s index inclusion as instrument. Standard errors, reported in parentheses, are adjusted for firm-level clustering. Statistical significance at the 10, 5, and 1% level is indicated by *, **, and ***, respectively.

Dependent variable	OLS	OLS (controlled for change of consensus)	2SLS (Expected change of coverage as IV)	2SLS(Standard Poor’s index inclusion as IV)	OLS
	Dummy of narrowly meeting or beating target	Dummy of narrowly meeting or beating target	Dummy of narrowly meeting or beating target	Dummy of narrowly meeting or beating target	Dummy of narrowly meeting or beating target
	(1)	(2)	(3)	(4)	(5)
Residual coverage	−0.45 (0.06)***	−0.41 (0.06)***	−0.19 (0.10)*	−0.26 (0.12)**	0.25 (0.06)***
Change of analyst consensus	25.05 (2.08)***	24.58 (2.08)***	25.60 (2.52)***	25.60 (2.09)***	−4.58 (1.60)***
Institutional ownership	−0.00 (0.00)	−0.00 (0.00)	0.04 (0.03)	0.05 (0.03)*	0.01 (0.00)***
Market-to-book ratio	−0.00 (3.83)**	−0.00 (3.46)**	−0.01 (0.04)	−0.00 (0.00)	−1.32 (1.91)
Return on assets	1.59 (1.01)	1.00 (0.97)	22.67 (4.86)***	8.93 (3.55)**	0.66 (0.86)
Growth rate of assets	1.32 (0.61)**	1.31 (0.50)**	1.49 (1.27)	0.99 (0.80)	−0.54 (0.31)*
Cash flow volatility	0.05 (0.02)**	0.07 (0.02)***	1.26 (0.49)***	1.30 (0.58)**	−0.04 (0.02)**
External financing activities	−3.81 (3.93)	−3.73 (3.80)	−3.40 (4.73)	−4.04 (3.83)	−4.68 (3.24)**
Size	−0.00 (0.00)***	−0.00 (0.00)**	−0.00 (0.00)**	−0.00 (0.00)*	0.00 (0.00)***
Constant	47.41	48.16	51.34	50.47	36.33

Table 11: Probability of narrowly meeting or beating earnings targets.

Table 12

The effect of analyst characteristics on earnings management

This table reports the results of regressions examining the effects of analyst characteristics on earnings management. The sample consists of firms in Institutional Brokers’ Estimate System from 1988 to 2002 with accounting information from Compustat. An analyst is defined as an analyst from top brokers if he or she is affiliated with a broker ranked as an *All-American* research team by *Institutional Investors* in a given year. Experience with firm is defined as the average number of years that all analysts have followed a given firm. Experience as analyst is defined as the average number of years that all analysts have worked as analyst. Standard errors, reported in parentheses, are adjusted for firm-level clustering. Statistical significance at the 10, 5, and 1% level is indicated by *, **, and ***, respectively.

Sample	Dependent variable: absolute value of discretionary accruals					
	Experience as analyst		Experience with firm		Experience with firm	
	All firms	Firms with positive DA	Firms with negative DA	All firms	Firms with positive DA	Firms with negative DA
Analysts from top brokers	−0.24 (0.05)***	−0.08 (0.07)	−0.27 (0.05)***	−0.19 (0.05)***	−0.05 (0.07)	−0.24 (0.05)***
Experience as analyst	−0.35 (0.11)***	−0.34 (0.16)**	−0.35 (0.13)***			
(Experience as analyst) ²	0.01 (0.01)	0.01 (0.01)	0.02 (0.01)**			
Experience with firm				−1.20 (0.14)***	−1.06 (0.20)***	−0.80 (0.16)***
(Experience with firm) ²				0.08 (0.01)***	0.07 (0.02)***	0.05 (0.02)***
Number of analysts	0.07 (0.02)***	−0.00 (0.02)	0.10 (0.02)***	0.08 (0.02)***	0.01 (0.02)	0.10 (0.02)***
Institutional ownership	−0.03 (0.00)***	−0.05 (0.01)***	−0.02 (0.01)***	−0.03 (0.00)***	−0.05 (0.01)***	−0.02 (0.01)***
Market-to-book ratio	0.01 (0.00)***	0.01 (0.00)***	0.03 (0.00)***	0.01 (0.00)***	0.01 (0.00)***	0.03 (0.00)***
Return on assets	−10.81 (0.78)***	11.33 (1.46)***	−16.83 (1.46)***	−10.88 (0.79)***	10.83 (1.45)***	−16.82 (1.48)***
Growth rate of assets	2.76 (0.40)***	2.65 (0.49)***	2.54 (0.47)***	2.68 (0.39)***	2.60 (0.48)***	2.49 (0.46)***
Cash flow volatility	0.38 (0.18)**	1.22 (0.48)***	0.34 (0.14)**	0.36 (0.17)**	1.09 (0.49)***	0.33 (0.14)**
External financing activities	2.82 (1.08)***	9.21 (1.42)***	0.68 (1.34)	2.10 (1.05)**	8.49 (1.40)***	0.23 (1.32)

Table 12: Analyst characteristics and earnings management.

7 Short summary

- The paper studies whether analysts affect firms’ earnings management.
- The key tension is monitoring versus pressure: analysts may scrutinize managers, but they may also create incentives to meet short-term targets.
- The main sample covers U.S. public firms from 1988 to 2002 using I/B/E/S analyst data and Compustat accounting data.
- The main earnings-management proxy is absolute discretionary accruals from a modified Jones model.
- Firms with more analyst coverage have lower discretionary accruals.
- The result is robust to controls for firm characteristics, year effects, industry effects, institutional ownership, and alternative samples.
- Endogeneity is addressed using expected coverage from changes in brokerage-house size and S&P 500 inclusion as instruments.
- Increases in analyst coverage over three-year periods are associated with decreases in discretionary accruals.
- Covered firms manage earnings less than uncovered firms.
- Low-coverage firms show stronger bunching just above analyst forecast targets than high-coverage firms.
- The negative relation between coverage and earnings management remains after controlling for expectation management.

- Analysts from top brokerage houses and more experienced analysts have stronger effects against earnings management.
- The paper concludes that analysts serve as external monitors and improve the quality of corporate reporting.

8 Conclusion

8.1 Core conclusion

Yu shows that analyst coverage is associated with less earnings management. Firms followed by more analysts have lower discretionary accruals and are less likely to bunch earnings just above analyst forecast targets. The evidence supports the view that analysts act as external monitors rather than merely imposing pressure to manipulate earnings.

8.2 Economic intuition

Analysts scrutinize financial statements, ask managers questions, compare firms within industries, and communicate concerns to investors. This increases the expected cost of aggressive accounting choices. Managers who know that more analysts are watching have less room to manipulate accruals or strategically hit earnings targets.

8.3 Incremental contribution revisited

The paper broadens the role of analysts from price intermediaries to governance intermediaries. Analysts do not only process information after firms produce it; their monitoring presence can affect the quality of the information produced by managers.

8.4 Implications

The findings imply that information intermediaries can be part of the governance system. A capital market with active analysts may discourage opportunistic reporting, improve earnings quality, and reduce information asymmetry between firms and investors.

8.5 Limitations

The empirical design is observational. Even with instruments, there may be remaining channels through which broker-size changes or S&P inclusion affect earnings management. Discretionary accruals are imperfect proxies for manipulation. The analyst-characteristics tests are especially vulnerable to selection because better analysts may choose particular firms.

8.6 Takeaway

The enduring takeaway is that analysts matter not only because they interpret corporate information, but also because they can discipline the creation of that information. More analyst coverage,

especially by experienced and high-quality analysts, is associated with cleaner reporting and less earnings management.